

Do institutional factors influence stock exchange listing requirements?

Yes, **institutional factors do influence** stock exchange listing requirements and related listing choices.

Do institutional factors influence stock exchange listing requirements? N = 5

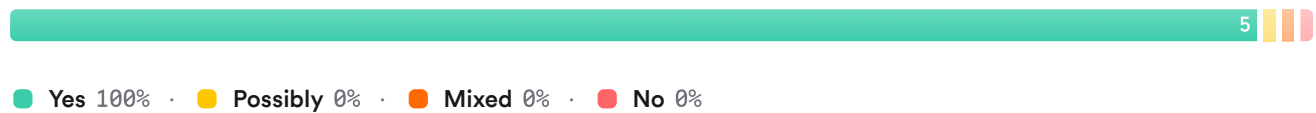


FIGURE 1 Consensus that institutional context shapes listing rules and choices.

Evidence from Theory and Cross-Listing Studies

- A rational-expectations model shows that **institutional impediments to liquidity flows** and cross-market competition shape how strict disclosure/listing requirements can be; “institutional impediments that restrict the flow of liquidity” are explicit environmental parameters affecting equilibrium disclosure standards across exchanges (■ Huddart et al., 1998).
- The “bonding” literature argues that firms from **weak investor-protection or low-disclosure regimes** are more likely to use U.S. or other high-standard exchanges precisely because of stricter listing and disclosure requirements, but managers from very weak regimes often avoid full exchange listing where U.S. GAAP and tougher governance rules apply (■ Coffee, 2002; Ole-Kristian, 2019). This treats home-country legal/institutional quality as a determinant of whether firms subject themselves to given listing standards.
- Empirical work on SEC Rule 12h-6 shows that loosening U.S. deregistration rules reduces innovation especially for firms from countries with **low investor protection, low regulatory quality, and less liberalized stock markets**, indicating that the **interaction of home-country institutions with U.S. listing regulation** is economically significant (Zhu & Wang, 2024).

Broader Institutional Context

- Reviews of stock-market development identify **legal origin, investor protection, corporate governance quality, financial liberalization, and stock-market integration** as core institutional determinants of how developed and stringent market regulations (including listing standards) become (Ho & Lyke, 2017).
- Studies of institutional quality and market regulations show that **rule of law, regulatory quality, and enforcement** are significant predictors of stock-market development and work jointly with market rules to shape outcomes (Kuzey et al., 2021).

Summary Table

Institutional factor (exogenous)	Link to listing requirements / listing mode	Citations
Legal origin, disclosure & investor protection	Drives demand for “bonding” via stricter exchanges; affects mode of cross-listing and GAAP compliance	(■ Coffee, 2002; Ole-Kristian, 2019; Ho & lyke, 2017)

Institutional factor (exogenous)	Link to listing requirements / listing mode	Citations
Regulatory quality & enforcement	Moderates economic impact of tightening/loosening listing obligations	(Zhu & Wang, 2024; Kuzey et al., 2021)
Liquidity & impediments to capital flows	Enter as institutional constraints in models of equilibrium disclosure standards	( Huddart et al., 1998)

FIGURE 2 Key institutional determinants and their link to listing regimes.

Conclusion

Across theoretical and empirical work, institutional factors such as legal origin, investor-protection strength, regulatory quality, and liquidity constraints clearly influence both the **stringency and form of listing/disclosure requirements** and firms' choices among listing venues.

These search results were found and analyzed using Consensus, an AI-powered search engine for research. Try it at <https://consensus.app>. © 2026 Consensus NLP, Inc. Personal, non-commercial use only; redistribution requires copyright holders' consent.

References

- Huddart, S., Brunnermeier, M., & Hughes, J. (1998). Disclosure Requirements and Stock Exchange Listing Choice in an International Context. *European Economics eJournal*. <https://doi.org/10.2139/ssrn.40260>
- Kuzey, C., Uyar, A., Hamrouni, A., Kılıç, M., & Boussaada, R. (2021). The link between institutional quality, ethical behaviors of firms, and market regulations on stock market developments. *Managerial and Decision Economics*. <https://doi.org/10.1002/mde.3288>
- Zhu, N., & Wang, K. (2024). The Impact of Loosening Regulatory Requirements on Firm Innovation: Evidence from SEC Rule 12h-6. *The British Accounting Review*. <https://doi.org/10.1016/j.bar.2024.101434>
- Ho, S., & Lyke, B. (2017). Determinants of stock market development: a review of the literature. *Studies in Economics and Finance*, 34, 143-164. <https://doi.org/10.1108/sef-05-2016-0111>
- Coffee, J. (2002). Racing Towards the Top?: The Impact of Cross-Listings and Stock Market Competition on International Corporate Governance. *Corporate Law: Securities Law eJournal*. <https://doi.org/10.2139/ssrn.315840>
- , O. (2019). Bonding to the Improved Disclosure Environment in the US: Firms Listing Choices and their Capital Market Consequences. **.